

01 Term Sheet Series A

TERM SHEET

Date: June 15, 2026

ISSUER: NovaTech AI Solutions, Inc.

San Francisco, CA 94105

INVESTORS:

- Co-Investors: Atlas Growth Capital, RedBridge Partners

OFFERING TERMS:

Security: Series A Preferred Stock

Pre-Money Valuation: \$38,000,000

Price Per Share: \$4.75

CAPITALIZATION (Pre-Financing):

Options Outstanding: 1,200,000 shares (Option Pool)

Total Fully Diluted: 8,000,000 shares

ALLOCATION:

Atlas Growth Capital: \$3,600,000 (30% of round)

DIVIDENDS:

and if declared by the Board of Directors. Dividends accrue

LIQUIDATION PREFERENCE:

Series A holders receive 1.5x their original investment

ANTI-DILUTION:

BOARD OF DIRECTORS:

- 2 appointed by Founders (CEO + 1 Founder designee)

- 1 independent member mutually agreed upon

PROTECTIVE PROVISIONS:

- Any debt exceeding \$500,000
- Issuance of securities senior to or pari passu with Series A
- Annual operating budget exceeding \$8,000,000

INFORMATION RIGHTS:

- Quarterly board package within 15 days of quarter end.
- Annual operating budget by December 1 of preceding year.

VESTING:

- Acceleration: 50% single-trigger on Change of Control.

EMPLOYEE OPTION POOL:

- (Approximately 1,764,706 shares post-financing)

RIGHT OF FIRST REFUSAL & CO-SALE:

DRAG-ALONG:

- a sale, all shareholders must consent and participate.

EXCLUSIVITY / NO-SHOP:

- from execution of this term sheet.

EXPECTED CLOSING: July 30, 2026

LEGAL COUNSEL:

- Investors: Blackwood Davis & Associates

GOVERNING LAW: State of Delaware

EXPIRATION: This term sheet expires if not signed by June 30, 2026.

SIGNATURES:

NovaTech AI Solutions, Inc. Managing Partner

Date: _____ Date: _____